NovaCart Refund Management – Government Policies and Regulatory Requirements

NovaCart sells everything from electronics and fashion to groceries and fresh produce, through both a marketplace and quick-commerce dark stores. Customers pay by UPI, cards and wallets. Every refund therefore touches more than one set of rules: consumer law decides when a refund is owed, RBI decides how the money goes back, GST decides how the tax is reversed, and data protection law covers the customer information we use along the way.

This document lists the rules that apply to the refund lifecycle described in the company profile.

Area	Rules	Regulator
Consumer protection	Consumer Protection Act 2019; Consumer Protection (E-Commerce) Rules 2020	Ministry of Consumer Affairs; CCPA
Payments	RBI turnaround-time framework; RBI Payment Aggregator Directions 2025; NPCI UPI dispute rules	RBI; NPCI
Tax	CGST Act, sections 34 and 52	GST Council; CBIC
Data protection	Digital Personal Data Protection Act 2023 and Rules 2025	MeitY; Data Protection Board
Food	Food Safety and Standards Act 2006	FSSAI

Consumer protection

The E-Commerce Rules apply to both of NovaCart's models. For refunds, four of them matter.

Rule	What it says	Where it shows up in refunds
Refund timing	Accepted refunds must be paid within a reasonable period, or as RBI or other law requires.	Turnaround time for every eligible refund

Rule	What it says	Where it shows up in refunds
Grievance redressal	A grievance officer acknowledges a complaint within 48 hours and resolves it within one month. Marketplace sellers need one too.	Refund complaints and seller disputes
No refusal	Returns or refunds cannot be refused for goods that are defective, deficient, spurious, not as described, or delivered late (force majeure excepted).	Damaged, incorrect and quality-issue claims
Disclosure	Return, refund, exchange and warranty terms must be shown clearly to customers.	Category-specific return policies

Payments

The failed-payment scenario in the profile (customer debited, order not confirmed) is directly covered by RBI's turnaround-time circular of 20 September 2019. If money isn't reversed in time, the customer is owed ₹100 for every day of delay, without having to complain.

Payment method	Auto-reversal limit
Card (online)	T + 5 days
UPI payment to merchant	T + 5 days
Wallet, same provider	T + 1 day

T is the date of the transaction.

Three other payment rules apply:

- **Refund destination.** Under the RBI Payment Aggregator Directions 2025, a refund goes back to the original payment method. It can go elsewhere, such as NovaCart's wallet, only if the customer agrees and the account is theirs.
- **Card data.** Card numbers cannot be stored by merchants. Refund records keep tokens and provider references instead.
- **UPI disputes.** Through NPCI's UDIR, customers can raise a failed-payment dispute straight from their UPI app, so a claim may reach NovaCart from outside its own channels.

Tax (GST)

The profile notes that a refund isn't only the product price; it also unwinds taxes, discounts and seller settlements. On the tax side, two sections of the CGST Act apply.

Section 34 covers credit notes. When goods are returned or a supply falls short, the supplier issues a GST credit note: NovaCart for its own inventory, the seller for marketplace sales. It has to be reported no later than 30 November after the financial year ends.

Section 52 covers tax collected at source. NovaCart, as the marketplace operator, collects TCS (currently 0.5%) on sellers' sales net of returns, so marketplace refunds reduce the TCS base for that seller and month.

Data protection

Refunds involve names, addresses, payment references, photos of damaged items and claim history, and the fraud model uses behavioural signals. All of this falls under the DPDP Act 2023. The DPDP Rules were notified in November 2025, with core duties applying from 13 May 2027.

Requirement	What it means for refund data
Purpose and notice	Refund handling and fraud checks must be covered by the privacy notice.
Security	Reasonable safeguards such as encryption and access control.
Breach reporting	Report to the Data Protection Board, with a detailed report within 72 hours.
Logs	Keep processing logs for at least one year.
Erasure	Delete personal data once it's no longer needed, with 48 hours' notice, unless another law requires it to be kept.
Customer rights	Customers can ask to see, correct or erase their data.

Food and product categories

For groceries, FSSAI requires food sold online to reach the customer with at least 30% of its shelf life, or 45 days, left. A claim for expired or near-expiry stock falls under this rule.

For electronics, consumer law makes sellers and platforms liable for defective products, and warranty terms must be disclosed. Damaged-electronics claims follow those disclosed terms.

Compliance mapping

Lifecycle stage (from profile)	Rules that apply
1. Refund request initiation	E-Commerce Rules: disclosure
2. Identity and transaction verification	DPDP Act: purpose and security
3. Policy and eligibility validation	E-Commerce Rules: no refusal; FSSAI shelf life; warranty disclosure
4. Duplicate claim and financial checks	RBI turnaround time; NPCI UDIR
5. AI-based fraud and anomaly assessment	DPDP Act: purpose and notice
6. Decision and approval	E-Commerce Rules: no refusal
7. Refund execution	RBI Payment Aggregator Directions: refund destination, card data
8. Settlement and reconciliation	CGST Act sections 34 and 52
9. Customer notification and closure	E-Commerce Rules: refund timing, grievance redressal; DPDP Act: logs and erasure